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# Proposed reform to divorce and separation will bring pensions into greater focus

Lawyers say clarity needed on cohabitation and sharing of future pension benefits



Alex Levy

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**Image:** Pictured left to right: Top row: Royal London's Clare Moffat; Sackers' Dan Traynor. Bottom row: Fieldfisher's David Gallagher; People's Pension's Angela Staral.

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**Government proposals to reform financial remedies on divorce and separation will raise awareness of pensions, but greater clarity is needed in addressing the pension rights of cohabitants, lawyers say.**

The Ministry of Justice (MoJ) consultation – [A fairer end to relationships](#), which closes today (14 August) – also sought views on a new statutory framework of rights and responsibilities for eligible cohabiting couples when they separate.

It additionally set out proposals to codify established principles of family law including the "sharing" and "needs" principles and the distinction between matrimonial and non-matrimonial assets, including pensions.

Pensions are often among the largest assets accrued during a period of cohabitation or marriage, though they are often overlooked – with [research from the Money and Pensions Service published in January 2026](#) finding that just 43% of adults know that a pension forms part of a divorce settlement.

The government has proposed that courts must specifically consider the pension needs of both parties in divorce, saying this could "support a cultural shift towards more consistent consideration of retirement needs when financial orders are made and may help address wider gender imbalances following divorce".

For cohabitants who do not currently have a statutory regime for financial claims when a relationship ends, the government proposed that, for eligible couples, family courts should have access to a range of remedies reflecting those available on divorce, including pension sharing orders and maintenance orders in exceptional circumstances.

It proposed that couples must have lived together for at least three years or live together with a shared child to access the rights and protections of the narrower, needs-based cohabitation framework.

Fieldfisher head of pensions David Gallagher said that raising awareness of pensions is a "constant battle" in family law, echoing the [Law Commission's 2024 report](#) which stated that a re-evaluation of the current law was "imperative" to ensure that pension division becomes easier for divorcing couples to understand.

Sackers associate Dan Traynor said the firm welcomes the government's proposal to require courts to consider both pensions accrued during the marriage and future pension needs.

He said pension wealth should be "considered alongside property and capital as part of a holistic financial settlement". However, he said any such consideration "must recognise the long-term nature of pensions, the effect of the marriage on each individual's working patterns and accrual and the parties' future pension needs".

### **New pension rights for cohabitants**

Pension and family lawyers also stressed the need for reform for the 3.5 million cohabiting couples in the UK.

Fieldfisher's Gallagher said: "25 years living together and bringing up a family involves more financial give and take than some cases of divorce."

Osbornes family law partner Claire Andrews added: "Cohabitation reform is crucial. It's extremely unfair at the moment, but the government still want to preserve the sanctity of marriage."

Yet Andrews also suggested the consultation needed greater consideration about when financial remedies like a pension sharing order should apply to cohabitants, describing the current language as "incredibly vague".

She said: "Is it saying that cohabitees should have the right to a pension share, which notoriously you only do through marriage, or not? If they are, but only in unusual circumstances, what are those circumstances? Is it the length of the relationship? What is appropriate for a pension share within cohabitees compared to marriage?"

Sackers associate Dan Traynor said the lack of an agreed start date for cohabitation may make it difficult to distinguish between matrimonial and non-matrimonial property, or pension benefits accrued during the relationship and those not.

Traynor explained: "The wisdom of Solomon may be needed by the court in trying to work out who is a cohabitee and what is the correct fair share of pension assets."

Royal London head of technical Clare Moffat said pension sharing orders for cohabitants would function in much the same way as for divorcing couples, adding that details proving cohabitation might be considered agreed evidence by lawyers.

Where lawyers are not involved, Moffat said proving cohabitation may prove an added burden for providers – noting the consultation does not clarify whether providers or schemes will be responsible for gathering evidence that a couple has lived together for the necessary timeframe.

People's Pension chief operating officer Angela Staral added: "The consultation provides little detail on how the proposals would work in practice. Divorce and death claims are already among the more complex areas for pension scheme administration, where complications can cause delays and frustration for members.

"We therefore urge the government to work closely with the pensions industry to develop practical solutions that improve outcomes without increasing administrative complexity or regulatory burden."

**Does a clean break work for pensions?**

Pension and family lawyers also said the reforms outlined in the consultation do not sufficiently account for the complex, long-term nature of pension benefits.

Osbornes' Andrews put this down in part to the "clean break" principle in the family court, employed so that the former couple have no ongoing obligation to each other.

She said that, when looking at divorce, for younger couples with young children where pension pots may be smaller, the sharing of assets at the point of a divorce does not account for the possible lower future contributions the woman in that relationship might make.

Andrews explained: "There's no scenario in the consultation which accounts for future pension provision because that's not how a divorce or financial division works. The parties have to quantify what the matrimonial pot is at the point of separation and divide that fairly based on the principle of sharing or needs.

"I think it's no bad thing to ensure that pensions are at least considered as part of that exercise for all couples, but I don't think it really addresses the inequality towards women who may typically make fewer contributions to their pensions in the future due to childcare responsibilities and so on."

Sackers' Traynor said the government's proposal that only pension benefits accrued during the marriage should be treated as matrimonial property would provide a clearer framework for the division of assets.

However, he highlighted that this may create difficulties in practice, such as with investment returns on defined contribution (DC) pensions. He said: "In most divorce cases, can the courts justify the cost of a detailed analysis of which returns correspond to which aspects of accrual?

"In reality, it will be more important than ever for the courts to consider the potential for inequitable long-term retirement outcomes as opposed to the monetary split at the time of divorce."

Osbornes' Andrews also said that divorcing couples without legal advice face complexity and may not be aware of how to request a pension valuation or that a pension actuarial report is recommended for pots valued over £100,000.

She said more clarity and guidance in respect of how to deal with pensions on divorce would be the most beneficial for those couples, as opposed to couples taking legal advice from the beginning of the process.

**Government rejects equal split as default**

A key reform issue identified in the 2024 Law Commission report was whether pension sharing should become the default statutory position – including whether equal sharing should be the default or pensions should be explicitly mentioned as a factor for consideration.

The MoJ consultation, however, rejected the suggestion – saying default equal sharing could limit the court's discretion.

Fieldfisher's Gallagher agreed. He said: "One-size-fits-all" rarely works in complex situations. Pensions are complex, separating families are complex and they are complex in different ways from case to case."

Gallagher also noted that pension sharing orders are rarely used, even more rarely than the alternative pension attachment orders, while Andrews said default sharing limits the ability for other arrangements that might compensate for a pension.

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